

I find that a complex head-and-shoulders bottom (which I refer to as a *complex bottom* in this chapter) is more difficult to recognize than a normal head-and-shoulders bottom but not alarmingly so. If you can locate a normal head-and-shoulders bottom, then there is a decent chance that you are also looking at a complex one. If you look to the left and right of the two shoulders, you might see additional shoulders. Multiple shoulders are one indication of a complex bottom. Before I delve too far into pattern recognition, let me review the important snapshot statistics.

The complex head-and-shoulders bottom is a strong performer with a low breakeven failure rate (ranking third out of 39 in bull markets when a rank of 1 has the lowest failure rate) and a very good average gain after the breakout. Volume typically slopes downward, and about two-thirds of patterns have throwbacks to the breakout price.

Let's see what these chart patterns look like.

Tour

There are two types of complex head-and-shoulders bottoms: those with multiple shoulders and those with multiple heads. I can't recall seeing a head-and-shoulders bottom with multiple heads *and* multiple shoulders, but I'm sure they exist.

Consider the chart in [Figure 40.1](#), which shows a complex bottom. The chart pattern has two left shoulders, a single head, and two right shoulders. If you were scanning your charts for normal head-and-shoulders bottoms, this one would probably pop up on your radar. The left and right shoulders are well defined, and the head is below them. As you widen your view, you see an additional pair of shoulders; the left shoulder is about the same distance from the head as the right one. The two outermost shoulders are near the same price level, too.